# BREAKDOWN & HIGHLIGHTS OF 2024 EXECUTIVE BUDGET PROPOSAL


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# INTRODUCTION & BACKGROUND

# INTRODUCTION & BACKGROUND

- The FGN's 2024 Budget was prepared against the backdrop of **challenging global and domestic economic environment**.

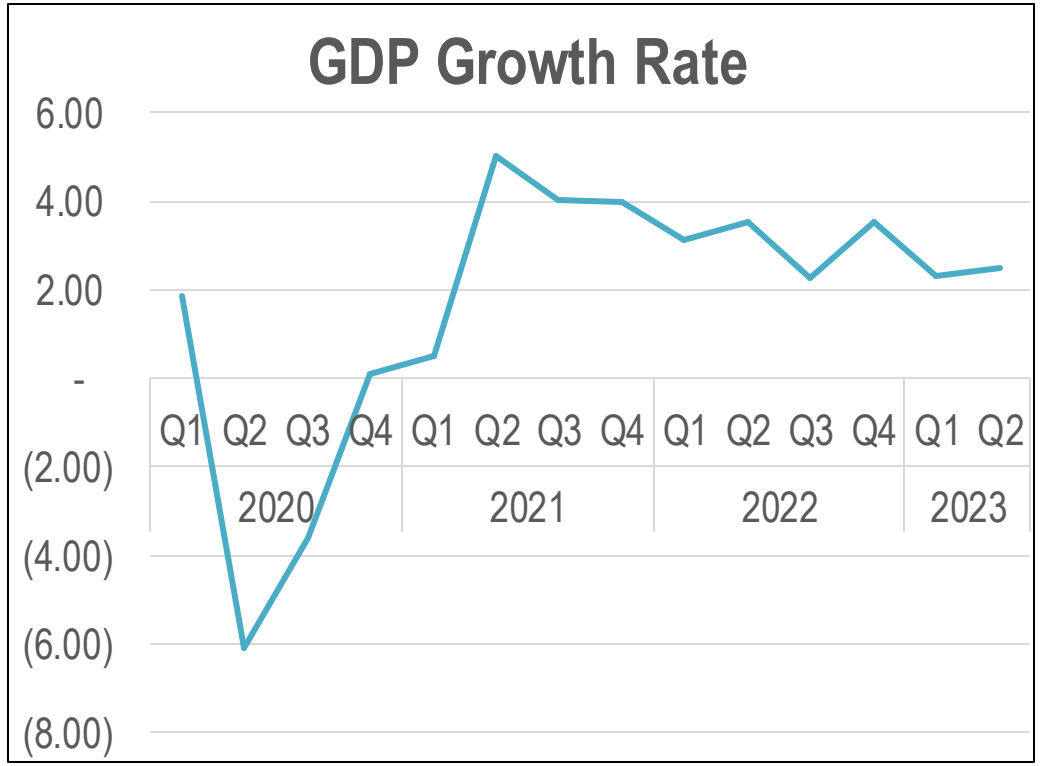
- Prevailing **global environment** is characterized by:
  - **slowing** global **growth**;
  - persistent **inflationary** pressures prompting monetary tightening with the inherent negative impact on capital inflow to emerging markets economies;
  - constrained **investment** spending;
  - **supply-chain** disruptions; and
  - rising **geo-political tensions**, including the Russia and Ukraine war, with severe implications on global food and energy prices;

# INTRODUCTION & BACKGROUND

- Domestic factors impacting the medium-term fiscal outlook include:
  - Domestic **revenue** mobilization challenges;
  - Public **debt sustainability** concerns;
  - Elevated **inflation**;
  - Challenging domestic business environment – **infrastructure**, **foreign exchange**, exchange rate etc; and
  - Negative impact of **insecurity** on the domestic economy.

# INTRODUCTION & BACKGROUND …/3

- The Nigerian economy posted **positive**, but **lower-than-expected growth**, for **twelfth** consecutive **quarters**, despite several headwinds.
- Real GDP grew by **2.54%** (year-on-year) in the **third quarter of 2023** slightly higher than 2.25% recorded in the second quarter of 2022.
- The growth performance was **driven** largely by the sustained **non-oil sector growth**.




- ✓ World **Bank** recently **lowered** its 2023 GDP growth forecast for Nigeria from 3% to **2.8%**.
- ✓ **NBS** has however not revised its projection of **3.75%** growth.

# INTRODUCTION & BACKGROUND ...../4

- ✓ The IMF projects global growth to fall from 3.5% in 2022 to 3.0% in 2023 and 2.9% in 2024.
  - The US economy is currently projected to maintain a steady growth trajectory at 2.1% in 2022 and 2023 but decline to 1.5% in 2024
  - From 3.3% in 2022, the IMF revised EU's GDP growth to 0.7% in 2023 (from 0.9%) and 1.2% in 2024 (from 1.5%)
  - Growth in Sub Sahara Africa is projected to slow from 4.0% in 2022 to 3.3% in 2023, and a rebound to 4.0% in 2024.

# INTRODUCTION & BACKGROUND

- The 2024 budget estimates of MDAs were prepared taking due cognizance of the National Development Plan 2021-2025, the Renewed Hope Agenda of the present Administration, as well as the strategies in the 2024-2026 MTEF&FSP.
- Hence, the Budget reflects the Renewed Hope Agenda of the present Administration aimed at addressing current fiscal challenges and to improve domestic economic conditions.
- Sectoral allocations reflect Government's desire to incentivise private investment, debottleneck public service and accelerate economic growth.
- The budget signals the Administration's commitment to prudent fiscal management and the implementation of economic reforms necessary for unlocking the opportunities in our economy.

# OVERVIEW OF 2022 FISCAL OUTCOMES

# PERFORMANCE OF 2022 BUDGET PARAMETERS

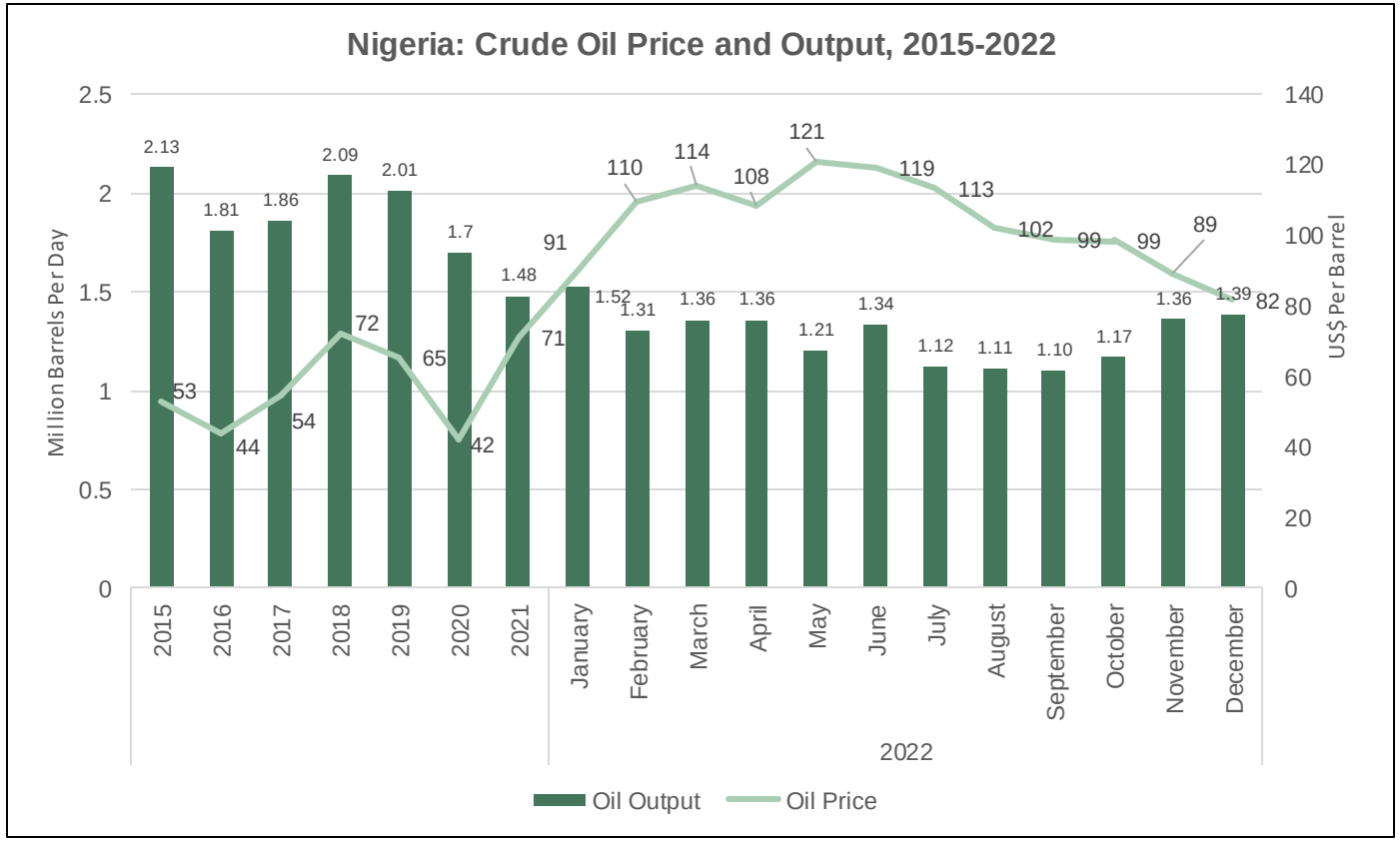
| Description | 2022 Budget | 2022 Actual |
|---|---|---|
| Oil Price Benchmark (US$/b) | 73.0 | 103.87* |
| Oil Production (mbpd) | 1.6+ | 1.28+ |
| Exchange Rate (N/$) | 410.2 | 402.28^ |
| Inflation (%) | 16.11 | 18.77++ |
| GDP Growth Rate (%) | 3.55 | 3.10** |

Sour

** CBN Average price of Bonny Light crude FY 2022*
*+ Average production FY 2022, exclusive of volumes for repayment of arrears.*
*^ CBN average exchange rate FY, 2022.*
*++ NBS Inflation rate FY 2022 (21.34% as of December 2022);*
*** NBS FY 2022 GDP growth rate [Q4 2022 real GDP growth was 3.52%].*

# PERFORMANCE OF 2022 BUDGET PARAMETERS [Federation]…./2

- Gross oil and gas revenue was projected at **N9.37 trillion** for FY2022. Actual receipts totalled **N6.54 trillion**, representing 69.8% performance.
- After all deductions (including 13% derivation), the net oil and gas revenue inflow to the Federation Account was **N1.61 trillion**. This is **N2.93 trillion** (or 64.6%) short of the projection.




- Lower-than-budget oil production volume, as well as cost overruns, accounted for the poor performance of oil and gas revenue.
- **PMS subsidy cost in** 2022 was put at **N4.105 trillion by NNPCL,** as against the provision of **N4 trillion** in the approved fiscal framework.

# OVERVIEW OF 2022 Federation Revenues

| | Fiscal Items | 2022 Budget | Actuals (Jan-Dec) | Variance | |
|---|---|---|---|---|---|
| | | Billions of Naira | | Billions of Naira | % |
| **A** | **OIL REVENUE** | | | | |
| a | Gross Oil and Gas Revenue | 9,369.96 | 6,538.09 | (2,831.87) | -30.2% |
| b | Deductions* | 4,831.04 | 4,929.32 | 98.29 | 2.0% |
| c | **Net Oil and Gas Revenue** | **4,538.93** | **1,608.77** | (2,930.16) | -64.6% |
| **B** | **NON-OIL REVENUE** | | | | |
| a | **Non-Oil Taxes** | **6,448.52** | **7,019.98** | 571.46 | 8.9% |
| *i* | *Corporate Tax* | 1,987.78 | 2,821.50 | 833.72 | 41.9% |
| *ii* | *VAT* | 2,441.80 | 2,511.52 | 69.72 | 2.9% |
| *iii* | *Customs* | 2,018.94 | 1,686.96 | (331.98) | -16.4% |
| b | **Deductions** | **467.14** | **472.88** | 5.74 | 1.2% |
| c | **Net Non-Oil Taxes** | **5,981.38** | **6,547.10** | 565.73 | 9.5% |
| d | Other Revenues** | 216.86 | 135.41 | (81.45) | -37.6% |
| e | **Net Non-Oil Revenue** | **6,198.24** | **6,682.52** | 484.28 | 7.8% |

* This include 13% derivation and transfer to Nigeria Police Trust Fund

** These include revenue from Soild Minerals after derivation, and Electronic Money Transfer

Note: The Net Non-Oil Revenue refers to those accurable to the Federation; thus, it excludes FGN Independent Revenues

- Non-oil revenue outperformed the budget.
- The projection for non-oil taxes was N6.45 trillion, but **N7.02 trillion** was collected. This represents a **performance of 108.9%.**
- Corporate Income Tax (CIT) and Value Added Tax (VAT) collections were **N2.82 trillion and N2.51 trillion,** representing 141.9% and 102.9% performances respectively.
- Customs collection was **N1.69 trillion, which was 83.6%** of the target.

# OVERVIEW OF 2022 Federation Revenues .../2

| | Fiscal Items | 2022 Budget | Actuals (Jan-Dec) | Variance |
|---|---|---|---|---|
| | | Billions of Naira | | Billions of Naira |
| A | **Net Federation Account Distributable*** | **8,475.08** | **5,823.84** | (2,651.24) |
| i | FGN's Share (52.68%) | 4,464.67 | 3,068.00 | (1,396.68) |
| ii | States' Share (26.72%) | 2,264.54 | 1,556.13 | (708.41) |
| iii | LG's Share (20.60%) | 1,745.87 | 1,199.71 | (546.16) |
| | | | | |
| B | **Net VAT Pool Account Distributable** | **2,262.08** | **2,341.90** | 79.82 |
| iv | FGN's Share (15%) | 339.31 | 351.28 | 11.97 |
| v | States' Share (50%) | 1,131.04 | 1,170.95 | 39.91 |
| vi | Local Govt.'s Share (35%) | 791.73 | 819.66 | 27.94 |
| | | | | |
| C | **Electronic Money Transfer Levy (EMTL) Distributable** | **209.77** | **125.55** | (84.22) |
| vii | FGN's Share (15%) | 31.46 | 18.83 | (12.63) |
| viii | States' Share (50%) | 104.88 | 62.77 | (42.11) |
| ix | Local Govt.'s Share (35%) | 73.42 | 43.94 | (29.48) |

- The accretions to the Main Pool and VAT Pool federation accounts were **N5.82 trillion and N2.34 trillion** respectively, while
- From the **Main Pool,** the **Federal Government received N3.07 trillion, while the States and Local Governments received N1.56 trillion** and **N1.20 trillion, respectively.**
- From the VAT Pool, the Federal, State and Local governments received **N351.28 billion, N1.17 trillion and N819.66 billion, respectively.**
- **N125.55 billion** was available for distribution among the three tiers of government from the **Electronic Money Transfer Levy.**

# OVERVIEW OF 2022 FGN Revenues

| | | 2022 Amended Budget | Actual (Jan-Dec) | Variance | |
|---|---|---|---|---|---|
| | | Billions of Naira | | Billions of Naira | % |
| S/N | AGGREGATE FEDERAL GOVERNMENT REVENUE | 9,969.17 | 8,805.75 | (1,163.42) | -11.7% |
| | FEDERAL RETAINED REVENUES (excl. GOEs) | 8,240.78 | 6,611.71 | (1,629.07) | -19.8% |
| A | | | | | |
| 1 | Oil Revenue | 2,190.37 | 776.35 | (1,414.02) | -64.6% |
| 2 | Share of Dividend (NLNG & BOI) | 195.72 | 101.70 | (94.02) | -48.0% |
| 3 | Minerals & Mining Revenue | 2.92 | 4.74 | 1.83 | 62.6% |
| 4 | Non-Oil Revenue: | 2,258.39 | 2,388.91 | 130.52 | 5.8% |
| i | CIT | 909.30 | 1,289.69 | 380.39 | 41.8% |
| ii | VAT | 316.69 | 327.87 | 11.17 | 3.5% |
| iii | Customs Revenues | 834.12 | 694.42 | (139.70) | -16.7% |
| iv | Federation Account Levies | 71.97 | 59.36 | (12.61) | -17.5% |
| v | Share of Electronic Money Transfer Levy | 29.37 | 17.58 | | |
| vi | Share of Oil Price Royalty | 96.94 | | | |
| B | | 5,321.77 | 5,534.04 | 212.28 | 4.0% |
| 1 | FGN Independent Revenue | 2,616.22 | 1,402.43 | (1,213.78) | -46.4% |
| 2 | FGN Drawdowns from Special Accounts/Levies | 300.00 | 175.79 | (124.21) | -41.4% |
| 3 | Signature Bonus / Renewals / Early Renewals | 280.86 | 280.86 | (0.00) | 0.0% |
| 4 | Domestic Recoveries + Assets + Fines* | 26.93 | 7.15 | (19.79) | -73.5% |
| 5 | Grants and Donor Funding | 63.38 | 1,145.11 | 1,081.74 | 1706.8% |
| 6 | Education Tax (TETF UND) | 306.00 | 328.67 | 22.68 | 7.4% |
| 7 | GOEs Retained Revenue | 1,728.39 | 2,194.04 | 465.65 | 26.9% |

- The FY 2022 FGN revenue was projected at N9.97 trillion. **The actual FGN revenue was N8.81 trillion**.
  - Of this, oil revenue **was N776.35 billion** (representing 35.4% performance), while non-oil tax revenue was N2.39 trillion (105.8% performance).
  - The contributions of **CIT and VAT** to FGN non-oil tax revenue were **N1.29 trillion and N327.87 billion**, respectively, representing **141.8% and 103.5%** of the Budget.
  - Customs collections were **N753.78 billion,** of which N694.42 billion was from import duties, excise, and fees, and N59.36 billion was from Special Levies. FGN share of Electronic Money Transfer Levy was N15.66 billion.
- Other revenues collected include **independent revenues of N1.40 trillion**, draw-down of N175.79 billion from Special Accounts, Signature bonus of N280.86 billion, Domestic recoveries of N7.15 billion, and Education Tax of N328.67 billion.
- **N2.19 trillion** accrued as Government Owned Enterprises (GOEs) retained revenue, while Grants/Aid was N1.15 trillion.

# OVERVIEW OF 2022 FGN Expenditures

| S/N | Fiscal Items | 2022 Amended Budget + Supplementary Budget | Actual (Jan-Dec) | Variance | |
|---|---|---|---|---|---|
| | | Billions of Naira | | Billions of Naira | % |
| | **AGGREGATE FGN EXPENDITURE** | **18,139.24** | **14,287.72** | **3,871.52** | **-21.3%** |
| | **FGN EXPENDITURE (excl. GOEs and Project-tied Loans)** | **15,287.81** | **13,410.37** | **1,857.26** | **-12.2%** |
| A | Statutory Transfers | 817.70 | 810.12 | 7.58 | -0.9% |
| B | Recurrent Expenditure | 11,088.71 | 11,280.80 | (194.09) | 1.8% |
| 1 | Non-Debt Recurrent Expenditure | 7,108.82 | 5,624.21 | 1,484.41 | -20.9% |
| | Non-Debt Recurrent Expenditure (excl. GOEs) | 6,039.89 | 5,050.15 | 989.74 | -16.4% |
| i | Personnel Costs (MDAs) | 3,717.43 | 3,494.37 | 223.07 | -6.0% |
| ii | Personnel Costs (GOEs) | 617.72 | 297.15 | 320.58 | -51.9% |
| iii | Pensions & Gratuities including Service wide pension | 577.86 | 387.32 | 190.54 | -33.0% |
| iv | Overheads (MDAs) | 376.38 | 371.73 | 4.65 | -1.2% |
| v | Overheads (GOEs) | 451.00 | 276.91 | 174.09 | -38.6% |
| vi | Other Service Wide Votes | 937.92 | 715.31 | 222.61 | -23.7% |
| vii | Presidential Amnesty | 65.00 | 65.00 | - | 0.0% |
| iv | TETFUND - Recurrent | 15.30 | 16.43 | (1.13) | |
| v | Special Intervention Programme | 350.00 | | 350.00 | -100.0% |
| 2 | **Debt Service** | **3,978.09** | **5,656.58** | **(1,678.49)** | **42.2%** |
| i | Domestic Debt | 2,562.15 | 2,571.47 | (9.32) | 0.4% |
| ii | Foreign Debt | 1,123.23 | 1,191.66 | (68.43) | 6.1% |
| iii | Sinking Fund | 292.71 | | 292.71 | -100.0% |
| iv | Interest on Ways & Means | | 1,893.45 | (1,893.45) | |
| C | **Aggregate Capital Expenditure** | **6,234.83** | **2,178.80** | **4,056.03** | **-65.1%** |
| | Capital Expenditure (MDAs + Others) | 4,431.93 | 1,893.51 | 2,538.42 | -57.3% |
| | GOEs Capital Expenditure | 647.08 | 283.29 | 363.79 | -56.2% |
| | Multi-lateral/Bilateral Project-tied loans | 1,155.82 | | 1,155.82 | -100.0% |

- The actual expenditure for FY 2022 was N14.27 trillion out of the FGN Budget of N18.14 trillion (78.7% of the Budget).
- Recurrent expenditure was N194.09 billion, higher than the budget estimate of N11.08 trillion.
- Of the **N11.28 trillion** spent on recurrent expenditure,
  - **N4.18 trillion** was spent on personnel costs and pensions.
  - Debt service was **N5.66 trillion**, representing 40% of aggregate expenditure and 64% of revenue. Debt service cost exceeded budget by **N1.68 trillion** mainly due to interest on Ways and Means **of N1.89 trillion** and generally higher interest rates on borrowings.
- The actual capital spending of **N2.18 trillion** was 65% of the budget.

# UPDATE ON 2023 FGN BUDGET PERFORMANCE

# PERFORMANCE OF 2023 YTD BUDGET PARAMETERS

| Description | 2023 Budget | 2023 Actual |
|---|---|---|
| Oil Price Benchmark (US$/b) | 75.0 | 81.22* |
| Oil Production (mbpd) | 1.69 | 1.33+ |
| Exchange Rate (N/$) | 435.57 | 601.02^ |
| Inflation (%) | 17.16 | 27.33++ |
| GDP Growth Rate (%) | 3.75 | 2.51** |

*Source: BOF, NNPC, OPEC, CBN, NBS, PRM&RC*

* *CBN Average price of Bonny Light crude*
\+ *Average production, exclusive of volumes for repayment of arrears.*
^ *CBN average exchange rate.*
++ *NBS Inflation rate as of October.*
** *This is the Q2 real GDP growth. It was 2.31% in Q1, and 2.41% for half-year 2023.*

# OVERVIEW OF 2023 FEDERATION REVENUES

| | Fiscal Items | 2023 Budget | Prorata | Actuals (Jan-Sept) | Variance | |
|---|---|---|---|---|---|---|
| | | Billions of Naira | | | Billions of Naira | % |
| **A** | **OIL REVENUE** | | | | | |
| a | Gross Oil and Gas Revenue | 9,384.72 | 7,038.54 | 5,583.79 | (1,454.75) | -20.7% |
| b | Deductions* | 4,764.42 | 3,573.32 | 2,648.86 | (924.46) | -25.9% |
| c | **Net Oil and Gas Revenue** | **4,620.30** | **3,465.22** | **2,934.93** | (530.29) | -15.3% |
| **B** | **NON-OIL REVENUE** | | | | | |
| a | **Non-Oil Taxes** | **7,534.84** | **5,651.13** | **7,172.17** | 1,521.04 | 26.9% |
| *i* | *Corporate Tax* | 2,092.67 | 1,569.50 | 3,370.28 | 1,800.78 | 114.7% |
| *ii* | *VAT* | 2,953.77 | 2,215.33 | 2,439.01 | 223.68 | 10.1% |
| *iii* | *Customs* | 2,488.40 | 1,866.30 | 1,362.88 | (503.42) | -27.0% |
| b | **Deductions** | **577.97** | **433.48** | **896.24** | 462.76 | 106.8% |
| c | **Net Non-Oil Taxes** | **6,956.87** | **5,217.65** | **6,275.93** | 1,058.27 | 20.3% |
| d | Other Revenues** | 144.58 | 108.44 | 670.47 | 562.03 | 518.3% |
| e | **Net Non-Oil Revenue** | **7,101.45** | **5,326.09** | **6,946.40** | 1,620.31 | 30.4% |

* This include 13% derivation and transfer to Nigeria Police Trust Fund

** These include revenue from Soild Minerals after derivation, and Electronic Money Transfer Levy

Note: The Net Non-Oil Revenue refers to those accurable to the Federation; thus, it excludes FGN Independent Revenues

- The gross oil and gas revenue for FY2023 was projected at N9.38 trillion. As of Sept 2023, **N5.58 trillion was realized** as against the prorated estimate of N7.04 trillion. This represents about **79.3% performance**.
- After accounting for deductions (including 13% derivation), net oil and gas revenue inflows to the Federation Account amounted to only **N2.93 trillion**. This is N530.29 billion or **20.7% less than the target.**
- Net non-oil revenue also outperformed the prorata target by **N1.62 trillion or 30.4%**. Only Customs revenue performed below target by 27%.

# OVERVIEW OF 2023 FEDERATION REVENUES .../2

| | Fiscal Items | 2023 Budget | Prorata | Actuals (Jan-Sept) | Variance |
|---|---|---|---|---|---|
| | | Billions of Naira | | | Billions of Naira |
| A | **Net Federation Account Distributable (Main Pool) *** | **8,985.38** | **6,739.03** | **7,480.95** | 741.91 |
| i | FGN's Share (52.68%) | 4,733.50 | 3,550.12 | 3,940.96 | 390.84 |
| ii | States' Share (26.72%) | 2,400.89 | 1,800.67 | 1,998.91 | 198.24 |
| iii | LG's Share (20.60%) | 1,850.99 | 1,388.24 | 1,541.07 | 152.83 |
| | | | | | |
| B | **Net VAT Pool Account Distributable** | **2,736.38** | **2,052.28** | **2,278.20** | 225.92 |
| iv | FGN's Share (15%) | 410.46 | 307.84 | 341.73 | 33.89 |
| v | States' Share (50%) | 1,368.19 | 1,026.14 | 1,139.10 | 112.96 |
| vi | Local Govt.'s Share (35%) | 957.73 | 718.30 | 797.37 | 79.07 |
| | | | | | |
| C | **Electronic Money Transfer Levy (EMTL) Distributable** | **136.35** | **102.26** | **122.18** | 19.92 |
| vii | FGN's Share (15%) | 20.45 | 15.34 | 18.33 | 2.99 |
| viii | States' Share (50%) | 68.17 | 51.13 | 61.09 | 9.96 |
| ix | Local Govt.'s Share (35%) | 47.72 | 35.79 | 42.76 | 6.97 |

- The amount available for distribution from the Federation Account – Main Pool was N7.48 trillion. Of this, the Federal Government received **N3.94 trillion**, while the States and Local Governments received **N2.00 trillion and N1.54 trillion, respectively**.

- Federal, State and Local governments received **N341.73 billion, N1.14 trillion and N797.37 billion, respectively** from the **VAT Pool Account,** and **N18.33 billion**, **N61.09 billion** and **N42.76 billion**, respectively from **EMTL**.

# OVERVIEW OF 2023 FGN REVENUE PERFORMANCE

| | | 2023 Budget | Pro Rata (Jan-Sept) | Actual (Jan-Sept) | Variance | |
|---|---|---|---|---|---|---|
| | | Billions of Naira | | | Billions of Naira | % |
| S/N | AGGREGATE FEDERAL GOVERNMENT REVENUE | 11,045.11 | 8,283.83 | 8,653.45 | 369.62 | 4.5% |
| | FEDERAL RETAINED REVENUES (excl. GOEs) | 8,626.00 | 6,469.50 | 7,152.84 | 683.34 | 10.6% |
| A | | | | | | |
| 1 | Oil Revenue | 2,229.64 | 1,672.23 | 1,416.32 | (255.91) | -15.3% |
| 2 | Share of Dividend (NLNG & BOI) | 81.79 | 61.34 | 46.22 | (15.12) | -24.6% |
| 3 | Minerals & Mining Revenue | 3.64 | 2.73 | 4.44 | 1.70 | 62.3% |
| 4 | Non-Oil Revenue: | **2,465.61** | **1,849.21** | **2,497.29** | **648.08** | **35.0%** |
| i | CIT | 933.28 | 699.96 | 1,549.62 | 849.66 | 121.4% |
| ii | VAT | 383.09 | 287.32 | 318.95 | 31.63 | 11.0% |
| iii | Customs Revenues | 949.59 | 712.20 | 541.64 | (170.56) | -23.9% |
| iv | Federation Account Levies | 167.19 | 125.39 | 70.02 | (55.38) | -44.2% |
| v | Share of Electronic Money Transfer Levy | 19.09 | 14.32 | 17.07 | 2.75 | 19.2% |
| vi | Share of Oil Price Royalty | 13.37 | 10.03 | - | | |
| B | | **6,264.43** | **4,698.32** | **4,689.17** | **(9.15)** | **-0.2%** |
| 1 | FGN Independent Revenue | 3,169.07 | 2,376.80 | 1,281.22 | (1,095.59) | -46.1% |
| 2 | FGN Drawdowns from Special Accounts/Levies | 300.00 | 225.00 | 38.00 | (187.00) | -83.1% |
| 3 | Signature Bonus / Renewals / Early Renewals | 57.05 | 42.79 | 230.83 | 188.04 | 439.5% |
| 4 | Domestic Recoveries + Assets + Fines* | 27.90 | 20.92 | - | (20.92) | -100.0% |
| 5 | Grants and Donor Funding | 43.03 | 32.27 | 1,036.37 | 1,004.10 | 3111.4% |
| 6 | Education Tax (TETFUND) | 248.27 | 186.20 | 602.14 | 415.94 | 223.4% |
| 7 | GOEs Retained Revenue | 2,419.11 | 1,814.33 | 1,500.61 | (313.72) | -17.3% |

# OVERVIEW OF 2023 FGN REVENUE PERFORMANCE

- As of September 2023, FGN's retained revenue was **N8.65 trillion**, approximately 104.5% of the prorata target of N8.28 trillion.
- The FGN share of oil revenues was **N1.42 billion** (84.7% performance), while non-oil tax revenues totalled **N2.50 trillion** (a performance of 135%).
- CIT and VAT collections were **N1.55 trillion and N318.95 billion**, representing **221.4% and 111%** of their respective targets.
- Customs collections (made up of import duties, excise and fees, as well as federation account special levies) recorded **N611.65 billion** out of N837.59 billion (**73%** of target).
- Other revenues amounted to **N4.74 trillion**, of which Independent revenue (mostly transfers from GOEs and MDAs) was **N1.28 trillion**.

# OVERVIEW OF 2023 FGN EXPENDITURE PERFORMANCE

| Fiscal Items | 2023 Budget | Pro Rata (Jan-Sept) | Actual (Jan-Sept) | Variance | |
|---|---|---|---|---|---|
| | Billions of Naira | | | Billions of Naira | % |
| **AGGREGATE FGN EXPENDITURE** | **24,823.52** | **18,617.64** | **12,700.94** | **5,916.70** | **-31.8%** |
| **FGN EXPENDITURE (excl. GOEs and Project-tied Loans)** | **20,633.00** | **15,474.75** | **11,730.60** | **3,744.15** | **-24.2%** |
| **Statutory Transfers** | **985.49** | **739.11** | **711.36** | **27.76** | **-3.8%** |
| **Recurrent Expenditure** | **15,879.77** | **11,909.83** | **10,517.11** | **1,392.72** | **-11.7%** |
| **Non-Debt Recurrent Expenditure** | **9,322.17** | **6,991.63** | **4,729.53** | **2,262.09** | **-32.4%** |
| **Non-Debt Recurrent Expenditure (excl. GOEs)** | **7,738.45** | **5,803.84** | **3,982.31** | **1,821.53** | **-31.4%** |
| Personnel Costs (MDAs) | 4,139.21 | 3,104.40 | 2,988.03 | 116.37 | -3.7% |
| Personnel Costs (GOEs) | 912.32 | 684.24 | 452.94 | 231.30 | -33.8% |
| Pensions & Gratuities including Service wide pension | 854.81 | 641.11 | 339.66 | 301.45 | -47.0% |
| Overheads (MDAs) | 785.47 | 589.10 | 240.39 | 348.71 | -59.2% |
| Overheads (GOEs) | 671.40 | 503.55 | 294.29 | 209.26 | -41.6% |
| Other Service Wide Votes | 1,681.55 | 1,261.16 | 349.24 | 911.92 | -72.3% |
| Presidential Amnesty | 65.00 | 48.75 | 48.75 | (0.00) | 0.0% |
| TETFUND - Recurrent | 12.41 | 9.31 | 16.23 | (6.92) | |
| Special Intervention Programme | 200.00 | 150.00 | - | 150.00 | -100.0% |
| **Debt Service** | **6,557.60** | **4,918.20** | **5,787.58** | **(869.38)** | **17.7%** |
| Domestic Debt | 3,295.11 | 2,471.33 | 2,901.60 | (430.27) | 17.4% |
| Foreign Debt | 1,814.76 | 1,361.07 | 1,189.32 | 171.75 | -12.6% |
| Sinking Fund | 247.73 | 185.79 | - | 185.79 | -100.0% |
| Interest on Ways & Means | 1,200.00 | 900.00 | 1,696.65 | (796.65) | |
| **Aggregate Capital Expenditure** | **7,958.26** | **5,968.70** | **1,472.47** | **4,496.22** | **-75.3%** |
| Capital Expenditure (MDAs + Others) | 5,351.47 | 4,013.60 | 1,249.36 | 2,764.24 | -68.9% |
| GOEs Capital Expenditure | 835.39 | 626.54 | 223.11 | **403.43** | -64.4% |
| Multi-lateral/Bilateral Project-tied loans | 1,771.40 | 1,328.55 | - | **1,328.55** | -100.0% |

# OVERVIEW OF 2023 FGN EXPENDITURE PERFORMANCE

- The aggregate expenditure for FY 2023 (inclusive of the supplementary budget) is estimated at **N24.82 trillion**, with a prorata spending target of **N18.62 trillion** at end of September.
- The actual spending was **N12.7 trillion**.
  - Of this amount, **N5.79 trillion** was for debt service, and
  - **N3.78 trillion** for Personnel cost, including Pensions.
- Only about **N1.47 trillion** (25% of the pro-rata budget) has been released for MDAs' capital expenditure as of September 2023.
- This level of performance is partly explained by the introduction of the "Bottom-up Cash Plan" arrangement with effect from 2023.

# OVERVIEW OF 2023 FGN FISCAL DEFICIT

| Fiscal Items | 2023 Budget | Pro Rata (Jan-Sept) | Actual (Jan-Sept) | Variance |
|---|---|---|---|---|
| | Billions of Naira | | | Billions of Naira |
| **FISCAL BALANCE** | **(13,778.41)** | **(10,333.80)** | **(4,047.49)** | **(6,286.31)** |
| | | | | |
| **FINANCING ITEMS** | **10,782.08** | **8,086.56** | **4,047.49** | **4,039.06** |
| Sales of Government Property | | | | - |
| Privatisation Proceeds | 206.18 | 154.64 | - | 154.64 |
| Multi-lateral / Bilateral Project-tied Loans | 1,771.40 | 1,328.55 | - | 1,328.55 |
| New Borrowings | **8,804.49** | **6,603.37** | **4,047.49** | 2,555.87 |
| Domestic Borrowing (including CBN) | 7,043.59 | 5,282.69 | 4,047.49 | 1,235.20 |
| Foreign Borrowing | 1,760.90 | 1,320.67 | | 1,320.67 |

- The projected fiscal deficit for FY 2023 is N13.79 trillion, with a prorata deficit of N10.33 trillion at end of September.
- The actual deficit was N4.05 trillion, and was mainly financed by domestic borrowing.

# KEY ASSUMPTIONS AND MACROECONOMIC FRAMEWORK UNDERLYING THE 2024 BUDGET

# KEY ASSUMPTIONS & MACRO-FRAMEWORK

## REVISED 2024 – 2026 MTFF PROJECTIONS

- The key parameters as well as other macroeconomic projections driving the medium-term revenue and expenditure framework have been revised in line with the emergent realities. The new figures are presented in the table below.

| Description | 2023 | 2023 Revised Forecast (as at July 2023) | 2024 | 2025 | 2026 |
|---|---|---|---|---|---|
| Oil Price Benchmark (US$/b) | 75.0 | 75.0 | 77.96 | 73.76 | 69.90 |
| Oil Production (mbpd) | 1.69 | 1.72 | 1.78 | 1.80 | 1.81 |
| Exchange Rate (N/$) | 435.57 | 700.00 | 750.00 | 665.61 | 669.79 |
| Inflation (%) | 17.16 | 17.16 | 21.40 | 20.30 | 18.60 |
| Non-Oil GDP (N'bn) | 214,049.5 | 214,049.5 | 223,989.2 | 249,188.0 | 278,251.7 |
| Oil GDP (N'bn) | 11,457.8 | 11,457.8 | 12,316.0 | 13,225.7 | 14,272.0 |
| Nominal GDP (N'bn) | 225,507 | 225,507 | 236,305.2 | 262,413.7 | 292,523.7 |
| GDP Growth Rate (%) | 3.75 | 3.75 | 3.76 | 4.22 | 4.78 |
| Imports | 24,385.6 | 24,385.6 | 32,453.5 | 33,401.3 | 34,515.4 |
| Nominal Consumption (N'bn) | 121,933.1 | 121,933.1 | 163,227.8 | 189,992.8 | 218,594.2 |

***Source**: NNPC; BOF; NBS, FMMBEP*

# KEY ASSUMPTIONS & MACRO-FRAMEWORK .../2

## 2024 Budget Assumptions

- Crude oil forecasts are based on available information on approved work plans. Crude oil forecast assumes that all evacuation lines will be operational as the security situation is expected to improve.

- The gas forecast also considered the Nigeria Gas Flare Commercialisation Programme [NGFCP] projects' onstream commencement and Gas export commencement in Anyala-Madu Field in 2025.

- All Nigerian crude grades are priced on a "Formula pricing basis" of which Dated Brent contributes between 98%-99% of the final price. However, the budget benchmark price has discounted for vagaries in international oil market price.

- Inflation is projected to average 21.4% in 2024 before declining to 20.3% and 18.6% in 2025 and 2026, respectively.

# OVERVIEW OF 2024-2026 FISCAL FRAMEWORK

# OVERVIEW OF THE 2024 – 2026 FISCAL FRAMEWORK

## Federation Account Revenue

- Total Federation Account revenue is projected to increase to **N26.62 trillion** in 2024, up from **N11.86 trillion** projected for 2023.

- Out of this,
  - *Main Pool is projected to be **N22.78 trillion***
  - *while VAT Pool and EMTL are projected at **N3.66 trillion** and **N174.26 billion**, respectively*.

- The exchange rate effects, higher oil production projection, and the removal of subsidy are mainly responsible for the increase in projected revenue inflows.

# OVERVIEW OF THE 2024 – 2026 FISCAL FRAMEWORK

## Federation Account Revenue

| FISCAL ITEMS | 2023 Budget Approved by NASS + Supplementary | 2024 Proposal | 2025 | 2026 |
|---|---|---|---|---|
| **Budget Oil Production Volume Net Incremental Oil Prodution for Repayment Arrears (mbpd)** | **1.69** | **1.78** | **1.80** | **1.81** |
| **Projected Budget Benchmark Price (US$ per barrel)** | **75.00** | **77.96** | **73.76** | **69.90** |
| **Average Exchange Rate (N/US$)** | **435.57** | **750.00** | **665.61** | **669.79** |
| **NET FEDERATION ACCOUNT (MAIN POOL)** | **9,030,528,378,089** | **22,889,914,433,078** | **21,581,041,103,669** | **22,060,538,437,963** |
| Transfer to Police Trust Fund (0.5% of Fed. Acct.) | 45,152,641,890 | 114,449,572,165 | 107,905,205,518 | 110,302,692,190 |
| **NET FEDERATION ACCOUNT - MAIN POOL (after 0.5% transfer to Police Trust Fund)** | **8,985,375,736,198** | **22,775,464,860,913** | **21,473,135,898,151** | **21,950,235,745,773** |
| Net Oil Revenue after Costs, Deductions & Derivation | 4,597,197,314,933 | 15,848,003,763,236 | 14,085,896,195,516 | 14,596,522,539,407 |
| Net Solid Minerals Revenue after Derivation | 7,514,013,071 | 9,392,516,339 | 11,740,645,424 | 11,740,645,424 |
| NLNG Dividend | 153,732,619,872 | 715,235,850,000 | 665,529,780,683 | 56,556,853,267 |
| Net Corporate Tax Distributable | 1,924,288,830,489 | 3,036,242,280,088 | 3,386,214,588,759 | 3,789,865,089,597 |
| Net Customs Revenue Distributable | 1,957,924,806,341 | 2,654,709,885,826 | 2,796,944,689,293 | 2,951,204,331,322 |
| Net Special Levies Distributable | 344,718,151,493 | 511,880,565,423 | 526,809,998,476 | 544,346,286,757 |
| **NET FEDERATION ACCOUNT (VAT POOL)** | | | | |
| **Net Federation Account - VAT Pool (after CoC and Transfers to NEDC and NPTF)** | **2,736,375,247,640** | **3,663,095,695,937** | **4,263,746,611,082** | **4,905,607,614,917** |
| **FEDERATION ACCOUNT (EMTL)** | **137,032,655,344** | **175,111,289,611** | **195,124,908,924** | **215,014,086,445** |
| Transfer to Police Trust Fund (0.5% of Fed. Acct.) from EMTL | 685,163,277 | 875,556,448 | 975,624,545 | 1,075,070,432 |
| **Net Electronic Money Transfer Levy after transfer to NPTF** | **136,347,492,067** | **174,235,733,163** | **194,149,284,379** | **213,939,016,013** |
| **DISTRIBUTION** | | | | |
| **Distribution - Federation Account (Main Pool, VAT Pool and EMTL)** | **11,858,098,475,906** | **26,612,796,290,013** | **25,931,031,793,612** | **27,069,782,376,703** |
| **Main Pool** | **8,985,375,736,198** | **22,775,464,860,913** | **21,473,135,898,151** | **21,950,235,745,773** |
| FGN's Share of Federation Account (52.68%) | 4,733,495,937,829 | 11,998,114,888,729 | 11,312,047,991,146 | 11,563,384,190,873 |
| States' Share of Federation Account (26.72%) | 2,400,892,396,712 | 6,085,604,210,836 | 5,737,621,911,986 | 5,865,102,991,271 |
| Local Govt.'s Share of Federation Account (20.60%) | 1,850,987,401,657 | 4,691,745,761,348 | 4,423,465,995,019 | 4,521,748,563,629 |
| **VAT Pool** | **2,736,375,247,640** | **3,663,095,695,937** | **4,263,746,611,082** | **4,905,607,614,917** |
| FGN's' Share of VAT Pool Account (15%) | 410,456,287,146 | 549,464,354,390 | 639,561,991,662 | 735,841,142,238 |
| States' Share of VAT Pool Account (50%) | 1,368,187,623,820 | 1,831,547,847,968 | 2,131,873,305,541 | 2,452,803,807,458 |
| Local Govt.'s Share of VAT Pool Account (35%) | 957,731,336,674 | 1,282,083,493,578 | 1,492,311,313,879 | 1,716,962,665,221 |
| **Electronic Money Transfer Levy (EMTL)** | **136,347,492,067** | **174,235,733,163** | **194,149,284,379** | **213,939,016,013** |
| FGN's' Share (15%) | 20,452,123,810 | 26,135,359,974 | 29,122,392,657 | 32,090,852,402 |
| States' Share (50%) | 68,173,746,034 | 87,117,866,581 | 97,074,642,190 | 106,969,508,007 |
| Local Govt.'s Share (35%) | 47,721,622,224 | 60,982,506,607 | 67,952,249,533 | 74,878,655,605 |

# OVERVIEW OF THE 2024 – 2026 FISCAL FRAMEWORK

## FGN Revenue

- The 2024 FGN Revenue is projected at N18.32 trillion (N7.28 trillion or 66% more than the 2023 Budget).
  - Of the aggregate revenue, N7.94 trillion or 43.3% is projected to come from oil-related sources.
  - The balance of N10.39 trillion is to be earned from non-oil sources.
- The FGN share of non-oil tax is projected at N3.52 trillion compared to N2.43 trillion in 2023, while its share of Minerals and Mining revenues is N4.56 billion in 2024 from N3.64 billion in 2023.
- The projection for Independent Revenue has been moderated to N1.91 trillion, down from N3.17 trillion, while the projection for Grants and Donor funded projects is N685.63 billion.
- Dividends from NLNG, Bank of Industry, Development Bank of Nigeria, Galaxy Backbone, and Bank of Agriculture are projected at N357.92 billion compared to N81.79 billion in 2023.
- The projected sum of other revenues, including FGN's share of Oil Price Royalty, Education Tax, Electronic Money Transfer Levy, and Drawdowns from Special Accounts, is N1.05 trillion.

# OVERVIEW OF THE 2024 – 2026 FISCAL FRAMEWORK

## FGN Revenue

| | FISCAL ITEMS | 2023 Budget Approved by NASS + Supplementary | 2024 Proposal | 2025 | 2026 |
|---|---|---|---|---|---|
| AMOUNT AVAILABLE FOR FGN BUDGET (excluding GOEs retained revenue) | | 8,625,998,338,101 | 15,463,393,218,285 | 14,293,896,683,564 | 14,797,955,265,578 |
| a | **Share of Oil Revenue** | **2,229,640,697,742** | **7,686,281,825,170** | **6,831,659,654,825** | **7,079,313,431,612** |
| b | **Dividends** | **81,786,706,388** | **357,923,133,707** | **333,143,962,366** | **37,459,838,068** |
| | *NLNG* | *74,560,320,638* | *346,889,387,250* | *322,781,943,631* | *27,430,073,835* |
| | *Bank of Industry* | *7,226,385,750* | *5,534,053,940* | *4,695,537,160* | *3,552,626,680* |
| | *Development Bank of Nigeria* | | *2,920,000,000* | *2,520,000,000* | *2,790,000,000* |
| | *Bank of Agriculture* | | *2,429,692,517* | *2,966,481,575* | *3,487,137,554* |
| | *Galaxy Backbone* | | *150,000,000* | *180,000,000* | *200,000,000* |
| c | **Share of Minerals & Mining** | **3,644,296,339** | **4,555,370,424** | **5,694,213,031** | **5,694,213,031** |
| d | **Share of Non-Oil Taxes** | **2,433,154,452,006** | **3,521,207,272,130** | **3,851,259,624,668** | **4,220,211,684,311** |
| | *Share of CIT* | *933,280,082,787* | *1,472,577,505,843* | *1,642,314,075,548* | *1,838,084,568,454* |
| | *Share of VAT* | *383,092,534,670* | *512,833,397,431* | *596,924,525,551* | *686,785,066,088* |
| | *Share of Customs* | *949,593,531,075* | *1,287,534,294,626* | *1,356,518,174,307* | *1,431,334,100,691* |
| | *Share of Federation Acct. Levies* | *167,188,303,474* | *248,262,074,230* | *255,502,849,261* | *264,007,949,077* |
| e | Share of Electronic Money Transfer Levy (formerly called Stamp Duty) | 19,088,648,889 | 24,393,002,643 | 27,180,899,813 | 29,951,462,242 |
| f | Share of Oil Price Royalty | 13,366,750,326 | 24,169,090,276 | 17,513,224,501 | 162,800,944,613 |
| g | Revenue from GOEs | 3,873,416,174,946 | 4,069,565,246,556 | 4,387,477,031,247 | 4,745,915,124,664 |
| h | GOEs Operating Surplus (80% of which is captured in Independent Revenue) | (1,454,304,201,187) | (1,208,484,776,894) | (1,381,028,451,271) | (1,561,706,089,473) |
| i | Independent Revenue | 3,169,072,692,545 | 1,907,775,748,763 | 2,092,245,206,405 | 2,226,756,631,719 |
| j | Draw-down from Special Levies Accounts | 300,000,000,000 | 300,000,000,000 | 300,000,000,000 | 300,000,000,000 |
| k | Signature Bonus / Renewals / Early Renewals | 57,048,776,004 | 251,455,481,172 | 83,455,481,178 | - |
| l | Domestic Recoveries + Assets + Fines | 27,898,500,000 | - | - | - |
| m | Grants and Donor Funding | 43,028,488,073 | 685,632,294,000 | 338,087,750,215 | 297,290,993,426 |
| n | Education Tax (TETFUND) | 248,268,329,787 | 700,000,000,000 | 413,656,666,563 | 438,476,066,557 |
| AMOUNT AVAILABLE FOR FGN BUDGET (including GOEs) | | 11,045,110,311,860 | 18,324,473,687,947 | 17,300,345,263,540 | 17,982,164,300,769 |

# OVERVIEW OF THE 2024 – 2026 FISCAL FRAMEWORK

## FGN Aggregate Expenditure

- The FGN's 2024 aggregate expenditure is estimated at **N27.50 trillion**. This is **10.8%** (or about **N2.68 trillion**) higher than the 2023 FGN aggregate expenditure estimate of N24.82 trillion (including the **N2.996 billion** supplementary provision).
  - The 2024 expenditure estimate includes statutory transfers of N1.30 trillion and non-debt recurrent expenditure of **N10.26 trillion**.
  - The provisions of **N8.25 trillion** and **N243 billion** have been made for Debt Service and Sinking Fund to retire maturing bonds issued to local contractors/creditors, respectively.
  - A total of **N6.48 trillion** (inclusive of **N1.02 trillion** for GOEs) is provided for personnel and pension costs, an increase of **N576.16 billion** or **9.8%** over the 2023 provision. This is **35.4%** of the projected aggregate revenues for 2024.
  - The aggregate amount available for capital expenditures in the 2024 budget is **N8.70 trillion,** higher than the 2023 provision of **N8.43 trillion**.

# OVERVIEW OF THE 2024 – 2026 FISCAL FRAMEWORK

## FGN Aggregate Expenditure

| | FISCAL ITEMS | 2023 Budget Approved by NASS + Supplementary | 2024 Proposal | 2025 | 2026 |
|---|---|---|---|---|---|
| **STATUTORY TRANSFER** | | **985,486,010,536** | **1,376,352,359,690** | **1,274,474,245,026** | **1,309,442,061,183** |
| **DEBT SERVICE** | | **6,309,870,967,327** | **8,247,298,455,073** | **10,060,930,623,529** | **11,611,911,778,541** |
| **SINKING FUND** | | **247,726,644,470** | **243,662,151,758** | **240,151,732,268** | **300,000,000,000** |
| **RECURRENT (NON-DEBT)** | | **9,322,172,211,622** | **9,918,248,229,601** | **9,513,917,222,455** | **9,823,891,748,823** |
| a | Personnel Costs (MDAs) | 4,139,206,330,764 | 4,792,049,895,611 | 4,582,522,347,368 | 4,674,172,794,316 |
| b | Personnel Costs (GOEs) | 912,320,744,988 | 1,017,413,229,133 | 1,078,603,027,244 | 1,181,920,949,117 |
| c | Overheads (MDAs) | 785,465,197,644 | 614,992,892,732 | 698,160,290,447 | 733,068,304,969 |
| d | Overheads (GOEs) | 671,403,880,673 | 892,204,551,288 | 994,674,670,618 | 1,073,531,843,644 |
| e | Pensions, Gratuities & Retirees Benefits | 854,812,179,406 | 673,035,092,362 | 827,862,188,757 | 827,862,188,757 |
| f | Other Service Wide Votes (including GAVI/Immunization) | 1,681,550,461,658 | 1,628,552,568,475 | 1,046,411,864,693 | 1,046,411,864,693 |
| g | Presidential Amnesty Programme | 65,000,000,000 | 65,000,000,000 | 65,000,000,000 | 65,000,000,000 |
| h | TETFUND - Recurrent | 12,413,416,489 | 35,000,000,000 | 20,682,833,328 | 21,923,803,328 |
| **SPECIAL INTERVENTIONS (Recurrent)** | | **200,000,000,000** | **200,000,000,000** | **200,000,000,000** | **200,000,000,000** |
| **AGGREGATE CAPITAL EXPENDITURE** | | **8,434,977,581,247** | **8,700,815,421,223** | **7,320,616,901,783** | **7,343,209,604,672** |
| a | Capital Supplementation | 1,594,605,508,000 | 579,114,044,587 | 855,700,746,339 | 855,700,746,339 |
| b | Capital Expenditure in Statutory Transfers | 476,716,443,962 | 982,972,543,483 | 883,862,848,843 | 917,253,037,855 |
| c | Special Intervention Programme (Capital) - Family Home Fund | 7,000,000,000 | 9,000,000,000 | 7,000,000,000 | 7,000,000,000 |
| d | Amount Available for MDAs Capital Expenditure | 3,457,613,947,168 | 3,882,104,563,734 | 2,335,514,645,399 | 2,460,768,822,197 |
| e | GOEs Capital Expenditure | 835,387,348,099 | 820,908,398,828 | 804,070,709,084 | 809,686,754,648 |
| f | TETFUND Capital Expenditure | 235,854,913,298 | 665,000,000,000 | 392,973,833,235 | 416,552,263,229 |
| g | Grants and Donor Funded Projects | 43,028,488,073 | 685,632,294,000 | 338,087,750,215 | 297,290,993,426 |
| h | Multi-lateral / Bi-lateral Project-tied Loans | 1,771,404,182,322 | 1,051,914,486,314 | 1,685,893,144,167 | 1,416,156,042,365 |
| i | FGN Share of Oil Price Royalty Transferred to NSIA | 13,366,750,326 | 24,169,090,276 | 17,513,224,501 | 162,800,944,613 |
| **Capital Expenditure (Exclusive of Transfers)** | | **7,958,261,137,285** | **7,717,842,877,739** | **6,436,754,052,939** | **6,425,956,566,817** |
| **TOTAL FGN BUDGET (Excluding GOEs & Project-tied Loans)** | | **20,633,000,815,158** | **23,720,963,408,298** | **22,962,986,325,105** | **24,989,906,565,590** |
| **TOTAL FGN BUDGET (Including GOEs & Project-tied Loans)** | | **24,823,516,971,239** | **27,503,404,073,861** | **27,526,227,876,217** | **29,471,202,155,364** |

# OVERVIEW OF THE 2024 – 2026 FISCAL FRAMEWORK

## FGN Fiscal Deficit

- The budget deficit is projected to be **N9.18 trillion** in 2024, i.e., **N4.6 trillion** down from **N11.60 trillion** budgeted in 2023. The proposed deficit represents about **50%** of total FGN revenues and **3.88%** of the estimated GDP.

- The high projected level of fiscal deficit in 2024 is partly attributable to the proposed salary review of Federal workers across board, increased pension obligations and higher debt service cost.

- At **3.88%**, the projected level of deficit is higher than the **3%** threshold stipulated in the Fiscal Responsibility Act (FRA), 2007, but significantly lower than the 2023 level of **6.11%; FRA 2007** however allows government to exceed the 3% threshold if justified by threats to national security.

# OVERVIEW OF THE 2024 – 2026 FISCAL FRAMEWORK

## FGN Fiscal Deficit

| FISCAL ITEMS | | 2023 Budget Approved by NASS + Supplementary | 2024 Proposal | 2025 | 2026 |
|---|---|---|---|---|---|
| TOTAL FGN BUDGET (Including GOEs & Project-tied Loans) | | 24,823,516,971,239 | 27,503,404,073,861 | 27,526,227,876,217 | 29,471,202,155,364 |
| **Total Fiscal Deficit (including Project-tied Loans)** | | **(13,778,406,659,379)** | **(9,178,930,385,914)** | **(10,225,882,612,677)** | **(11,489,037,854,594)** |
| **GDP** | | **225,507,296,343,920** | **236,305,190,724,943** | **262,413,705,561,062** | **292,523,682,667,292** |
| **DEFICIT/GDP (including Project-tied Loans)** | | **(6.11%)** | **(3.88%)** | **(3.90%)** | **(3.93%)** |
| **TOTAL FGN EXPENDITURE** | | **24,823,516,971,239** | **27,503,404,073,861** | **27,526,227,876,217** | **29,471,202,155,364** |
| **Total Non-Debt Expenditure** | | **18,265,919,359,443** | **19,012,443,467,030** | **17,225,145,520,420** | **17,559,290,376,823** |
| Capital Expenditure as % of Non-Debt Expenditure | | 46% | 46% | 42% | 42% |
| Capital Expenditure as % of total FGN Expenditure | | 34% | 32% | 27% | 25% |
| Capital Expenditure (Inclusive of Transfers, but exclusive of GOEs Capital & Project-tied loans) as % of FGN Expenditure | | 23% | 25% | 18% | 17% |
| Recurrent Expenditure as % of total FGN Exp (incl. GOEs + Project-tied Loans) | | 66% | 68% | 73% | 75% |
| Debt Service to Revenue Ratio (incl. GOEs + Project-tied Loans) | | 57% | 45% | 58% | 65% |
| Deficit as % of FGN Revenue (incl. GOEs + Project-tied Loans) | | 125% | 50% | 59% | 64% |
| **ADDITIONAL FINANCING** | | | | | |
| a | Privatization Proceeds | 206,182,616,701 | 298,486,421,740 | 37,500,000 | - |
| b | Multi-lateral / Bi-lateral Project-tied Loans | 1,771,404,182,322 | 1,051,914,486,314 | 1,685,893,144,167 | 1,416,156,042,365 |
| c | New Borrowings | **11,800,819,860,357** | **7,828,529,477,860** | **8,539,951,968,511** | **10,072,881,812,229** |
| | *Domestic Borrowing* | *10,039,921,533,055* | *6,060,919,156,081* | *6,415,515,078,747* | *8,940,432,042,472* |
| | *Foreign Borrowing* | *1,760,898,327,302* | *1,767,610,321,779* | *2,124,436,889,764* | *1,132,449,769,757* |
| Sub-Total | | 13,778,406,659,379 | 9,178,930,385,914 | 10,225,882,612,677 | 11,489,037,854,594 |

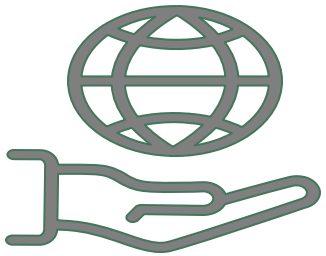
# CRITICAL SECTORAL ALLOCATIONS IN THE 2024 BUDGET

# Critical Allocations in 2024 Budget

## Education Sector N2.18 Trillion i.e. 7.9% of FGN Budget

**N1.23 trillion**

Amount provisioned for **Federal Ministry of Education and its agencies (Recurrent & Capital expenditure)**



**N251.47 billion**

Amount provisioned for **Universal Basic Education Commission (UBEC)**

**N700.0 billion**

Transfers to the Tertiary Education Trust Fund (**TETFUND**) for infrastructure projects in Tertiary institutions

# Critical Allocations in 2024 Budget

## Health Sector N1.33 Trillion i.e. 5% of FGN Budget

**N1.07 trillion**

Amount provisioned for **Federal Ministry of Health and its agencies (Recurrent & Capital expenditure)**

**N137.21 billion**

**Gavi/ Immunization funds, including Counterpart Funding for Donor Supported Programmes**

**N125.74 billion**

Transfer to Basic Healthcare Provision Fund (**BHCPF**)
**1% of CRF**

# Critical Allocations in 2024 Budget

**Defence & Security Sector (N3.25 trillion)**

– ***(12% of Budget)***

Amount provisioned for the Military, Police, Intelligence & Para-Military *(Recurrent & Capital expenditure)*

**Infrastructure (N1.32 trillion) 5% of Budget**

This include provisions for Works & Housing, Power, Transport, Water Resources, Aviation.

**Social Development & Poverty Reduction Programmes (N534 billion) - *(2% of Budget)***

Amount provisioned for Social Investments / Poverty Reduction Programmes

# CONCLUSION

# Conclusion

- The draft 2024 budget has been prepared against the backdrop of continuing global and domestic challenges.
- Overall, fiscal risks have increased, following weaker-than-expected domestic economic performance and structural issues in the domestic economy.
- Revenue generation remains the major fiscal constraint to Nigeria's fiscal viability. However, government is reviewing current tax and fiscal policies with a view to improving revenue generation.
- The target is to increase the ratio of revenue to GDP from less than 10 percent currently to 18 percent within the current term of this Administration.
- Efforts will however focus on improving tax administration and collection efficiency.

# Conclusion

- Government will make effort to further contain financial leakages through effective implementation of key public finance management reforms.
- The goal of fiscal interventions will be to further stimulate the economy through carefully calibrated regulatory/policy measures designed to boost domestic value-addition, de-risk the enterprise environment, attract external investment and sources of funding, etc.
- Government remains mindful of the need to provide safety nets to cushion the impact of reform measures on the vulnerable segments of the population.
- Early passage of the Budget for implementation from January 1 will significantly contribute towards achievement of government macro-fiscal and sectoral objectives.

# Conclusion …/3

- We welcome citizens' participation in enhancing budget implementation monitoring via the following platforms:
  - i-monitor
  - Citizen's Budget Monitoring app (*available on the google play store*)
- Details of the 2024 Budget Proposal are available on the website of the Budget Office of the Federation – www.budgetoffice.gov.ng

# THANK YOU !